SUMMARY · MK 1 ORGANIZATIONAL BEHAVIOR & MANAGING PEOPLE · WEEK 8

People & Strategy: Human Capital as Competitive Advantage

This week bridges OB (basic principles of managing self and others) with Managing People (the core HR framework). Topics: the purpose of managing people, the evolution from Personnel Management → HRM → Human Capital Management, Strategic HRM (HR from the outside in, best practice vs best fit), HR in Porter's value chain, choosing an HCM approach by market structure and business strategy (Ansoff), competency and iceberg models, HR as a system and the AMO model, talent management, and Ulrich's four HR roles plus the HR Business Partner.

Material

1 Scaling People: from OB to the core HR framework

The session is framed by *Scaling People* (Claire Hughes Johnson), called "one best book about HR", with two layers:

Basic Operating Principles (OB)

- Self awareness → mutual awareness
- Know differences, including manager vs leader
- Building trust: "Say the thing you think you cannot say"

HR Core Framework (MP)

- Foundations
- Hiring & recruiting
- Team building
- Development & performance management

Weeks 1–7 were mostly the OB layer; week 8 moves to the **system** layer: managing people strategically as a source of competitive advantage.

Often-confused terms

People (the persons), **Human Capital** (people as value-creating capital), **Talent** (high-value/high-potential people for key roles), **HR** (the function).

2 The purpose of managing people

Source	View
Torrington (1991)	HRM is the basis of all management: getting people to make things happen productively so the **business prospers and people thrive**.
Bratton (1994)	People are the **primary source of sustainable competitive advantage**.
Dessler (2003)	Effective HRM can **improve profit and performance**.
ChatGPT (2024)	Harness the **full potential** of human resources for organisational success.

Thread

Two balanced outcomes: **business performance** and **people's wellbeing/growth**.

3 Evolution: Personnel Management → HRM → Human Capital Management

Personnel Mgmt — people = **cost** → HRM — people = **resource** → HCM — people = **capital**

Attribute	Personnel	HRM	HCM
Employer view	Cost; work harder; Taylor-style incentives	Asset; part of production; added value	Capital; used in an integrated way to create value

Focus	Business built without the human factor; functional activities	Tangible assets	Intangible capital
Implementation	Basic functions	**Best practice** (copied)	**Best fit** (context)
Motivation	McGregor **Theory X** (lazy)	**Theory Y** (mature)	**Employee engagement**
Job specification	Technical aspects	Talent (knowledge & skill)	Knowledge worker (competencies)

HCM has a **soft system** and an **administrative system**. Top HR titles reflect the shift: Chief People Officer (Apple, Google), SVP People, Experience & Technology (Amazon); Direktur Human Capital (BCA, Telkom), Head of People and Culture (Gojek), Chief Corporate HC Development (Astra).

4 Strategic HRM: is there HRM that isn't strategic?

Source	Core
Boxall & Purcell (2000)	SHRM = HR practices **critical to organisational effectiveness**, focused on strategic choices affecting performance.
ChatGPT (2024)	Long-term planning, integration with business strategy, proactive approach; HR evolves into a strategic partner.
Ulrich (2012) — **HR from the Outside In**	Align with external realities: **customer needs, market & competitive dynamics, global trends**.

Balance 1: Best practice ↔ Best fit
Universal proven practices vs practices that depend on context.

Balance 2: Outside-in ↔ Inside-out
Start from customers and markets vs from existing capabilities and people.

5 HR in Porter's value chain

A **value chain** (Porter, 1985) is the set of activities an organisation performs to create customer value; more value → more profit and **competitive advantage**. Primary and support activities are contextual.

Support activity	Content
Procurement	Getting resources: vendors, negotiating prices
HRM	How well the firm **recruits, hires, trains, motivates, rewards and retains** workers
Technology development	Managing information and protecting the knowledge base
Infrastructure	Accounting, legal, administration, general management

Why it matters

HRM touches every primary activity because people run them all.

6 Choosing an HCM approach: market structure and business strategy

The right HCM approach (best fit) depends on **market structure** and **business strategy options**.

Market	Feature	HCM implication (illustrative)
Monopoly	One seller	Risk of bureaucratic HR; compliance and efficiency
Oligopoly	Few big players	Talent war for key roles; leader retention
Monopolistic competition	Many, differentiated	Creativity, service, employer branding
Perfect competition	Many, similar	Cost efficiency, productivity, standardisation

↕ Top: existing markets · bottom: new markets

Market penetration HR: productivity, sales incentives, efficiency.	**Product development** HR: innovation, R&D, technical talent.
Market development HR: expansion, local hiring, mobility.	**Diversification** HR: new talent, culture integration, change leadership.

↔ Left: existing products · right: new products

7 The competency and iceberg models

HR Strategy Model (Dessler, 2020): HR policies and practices should produce the **employee skills and behaviours** the company needs to achieve its strategic aims.

A **competency** is an employee characteristic contributing to successful job performance and organisational results: measurable knowledge, skills and abilities plus values, motivation, initiative and self-control that distinguish superior from average performers (Shippmann et al., 2000; Spencer, McClelland & Spencer, 1994). Knowledge (cognitive) + Skills (doing) + Attitude (traits) → competency → outstanding job performance.

ABOVE WATER — visible, easier to develop/measure: knowledge, skills (technical)

BELOW WATER — hidden: attitudes, traits, thinking styles, self-image, motives

Aspect	Type	Description

Soft	**Core**	Basis of strategic direction; what the firm does well vs competitors; behaviours all employees need (Hamel & Prahalad, 1994).
	Functional (job family)	Job-specific skills for a role or profession (Ozcelik & Ferman, 2006).
	Managerial / leadership	Leading organisations and people; needed by those with subordinates (Carrol & McCrackin, 1988).
Technical	—	Learned abilities improved through practice, certification or education.

8 HR as a system and the AMO model

SHRM treats HR as a **system**, not isolated practices, driving individual and organisational performance (Lepak et al., 2006). Components: job analysis/design, recruitment, selection, training/development, incentives & compensation, participation/empowerment, teams, performance evaluation, job security, employee voice, promotion/career, information sharing.

Dessler	Torrington	Bratton	Johnson
Recruitment, placement & talent; Training & development; Compensation; Employee relations	Resourcing; Performance; Development; Employee relations; Reward	Planning & selection; Rewards & development; Employee & labour relations	Basic HR; Recruitment & hiring; Team building; Performance & development

Nine HR policies: job design & analysis, recruitment & selection, career management, training & development, compensation & rewards, performance management, engagement, employer branding, diversity & inclusion → **Integrated HCM**.

AMO	Question	Practices
Ability	Can they?	Recruitment, selection, training
Motivation	Will they?	Pay, incentives, appraisal, careers

Opportunity	Are they allowed?	Empowerment, teams, voice, information sharing

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Performance = f(Ability, Motivation, Opportunity)
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9 Talent management vs HR management

Strategic talent management (**Collings & Mellahi, 2009**) involves:

1. Systematically identifying **key positions** that drive sustainable competitive advantage.
2. Developing a **talent pool** of high-potential, high-performing incumbents.
3. Creating a **differentiated HR architecture** to support and retain them.

HR management

Manages **all** employees with fairly uniform systems.

vs

Talent management

Focuses on **key positions and people** with differentiated treatment.

10 The Ulrich model: four HR roles

Ulrich (1996) maps HR roles on two axes: **strategic ↔ operational** and **process ↔ people**.

↕ Top: strategic / long term · bottom: operational / day to day

1. Strategic Partner

Major contributor to business strategy; translate strategy into organisational capability; design an organisation that delivers.

2. Change Agent

Partner line managers to lead and facilitate change with minimum disruption.

3. Administrative Expert

More, better, more accessible service at lower cost; re-engineer processes.

4. Employee Champion

Improve management and teamwork quality; communication; employee

commitment and capability.

↔ Left: process focus · right: people focus

Role	Activities	Related HR positions
Strategic Partner	Workforce planning; HR strategy; analysing business decisions' workforce impact	Business plan, HR strategy, manpower planning
Change Agent	Change management; supporting transitions; measuring change impact	Org design, job analysis/evaluation, talent mgmt, T&D
Administrative Expert	Automating payroll/benefits/records; HRIS; process improvement	Talent acquisition, industrial/employee relations, C&B
Employee Champion	Wellbeing and engagement; employee–management communication; resources and support	Career mgmt, talent mgmt, T&D, performance mgmt

11 The HR Business Partner (HRBP)

> "Being a business partner is not about doing HR for HR. It's about doing HR, so that we can win in the marketplace." — Dave Ulrich

Aspect	Explanation
Goal	Create value for employees and the organisation to sustain competitive advantage.
Orientation	Strategy-oriented, business-focused; improves performance through workforce strategies, not just HR operations.
Position	Front line, embedded in specific units; understands their challenges and dynamics.
Liaison	Between the HR unit and top management; tailored HR solutions.

Illustration (not from slides)

Sales loses 30% of new hires in 6 months. Traditional HR re-advertises; an HRBP diagnoses causes and proposes a buddy system, ramped targets and coaching training for supervisors.

Key takeaways

1. Scaling People: Basic Operating Principles (OB) + HR Core Framework (foundations, hiring, team building, development & performance).
2. Managing people: the business prospers and people thrive; people are the main source of sustainable advantage.
3. Evolution: Personnel (cost, Theory X) → HRM (resource, Theory Y, best practice) → HCM (capital, engagement, best fit, competencies).
4. SHRM: strategic, long-term, integrated with strategy; HR from the Outside In.
5. Porter's value chain: HRM is a support activity — recruit, train, motivate, reward, retain.
6. Choose the HCM approach by market structure and business strategy (Ansoff).
7. Competency = KSA + values, motivation, initiative; iceberg: technical above, soft below (core, functional, managerial).
8. HR as a system; AMO: Performance = f(Ability, Motivation, Opportunity).
9. Talent management (Collings & Mellahi): key positions, talent pool, differentiated HR architecture.
10. Ulrich: Strategic Partner, Change Agent, Administrative Expert, Employee Champion; HRBP = doing HR to win in the marketplace.

Case studies

Case & worked answers

Illustration: applying AMO and Ulrich at a logistics firm

Illustrative practice, not a real case. PT Kirim Cepat enters frozen-food delivery (Ansoff: product development). Strategy → competencies (cold-chain handling, route planning, food safety). Ability: hire experienced supervisors, certify 200 staff. Motivation: incentives tied to correct arrival temperature. Opportunity: couriers may refuse and report out-of-spec parcels. Ulrich roles: strategic partner, change agent, administrative expert, employee champion. Lesson: HR practices form a system that fits strategy.

Practice questions

Try answering first. The answer key is below each question.

1. In Personnel Management, employees are seen as...

A. Capital
B. Assets
C. Cost
D. Strategic partners

Answer: C. Personnel = cost; HRM = resource/asset; HCM = capital.

2. In HCM, employee motivation is driven by...

A. McGregor Theory X
B. McGregor Theory Y
C. Employee engagement
D. Taylor incentives

Answer: C. Personnel → X; HRM → Y; HCM → engagement.

3. HRM copying practices from elsewhere is called..., while HCM stresses...

A. Best fit; best practice
B. Best practice; best fit
C. Outside-in; inside-out
D. Theory X; Theory Y

Answer: B. Best practice = copied; best fit = context-based.

4. 'HR from the Outside In' (Ulrich, 2012) means aligning HR with...

A. Only internal HR targets
B. Customer needs, market & competitive dynamics, global trends
C. Labour law only
D. Shareholders only

Answer: B. HR looks at external business realities, not only internal goals.

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5. In Porter's value chain, HRM is...

A. A primary activity
B. A support activity
C. Margin
D. Outbound logistics

Answer: B. Support activities: procurement, HRM, technology development, infrastructure.

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6. Per Dessler's HR Strategy Model (2020), HR policies should produce...

A. Lowest labour cost
B. The employee skills and behaviours needed for strategic aims
C. Maximum headcount
D. A flat structure

Answer: B. Strategy → needed skills/behaviours → HR practices.

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7. In the competency model, 'Attitude' refers to...

A. The cognitive domain
B. Physical ability to do
C. Qualitative aspects, personal traits
D. Formal certification

Answer: C. Knowledge = cognitive; skills = doing; attitude = traits.

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8. In the iceberg model, the hardest components to measure ('below the surface') are...

A. Knowledge and skills
B. Attitudes, traits, thinking styles, self-image
C. Certificates
D. Work experience

Answer: B. Technical competencies are visible; soft ones are hidden.

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9. The competency underlying strategic direction that ALL employees need is...

A. Technical
B. Functional
C. Core
D. Managerial

Answer: C. Core competency (Hamel & Prahalad, 1994).

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10. Managerial/leadership competency is mainly needed by...

A. All new hires
B. Employees with subordinates
C. Admin staff
D. External consultants

Answer: B. Related to leading organisations and people.

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11. The AMO model says performance depends on...

A. Ability, Motivation, Opportunity
B. Assets, Money, Operations
C. Attitude, Management, Organisation
D. Analysis, Measurement, Outcome

Answer: A. Lepak et al. (2006).

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12. Staff are trained and motivated but lack authority or information to act. The weak AMO dimension is...

A. Ability
B. Motivation
C. Opportunity
D. None

Answer: C. Opportunity comes from empowerment, participation, voice, information sharing.

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13. Per Collings & Mellahi (2009), the FIRST step of strategic talent management is...

A. Raising everyone's pay
B. Identifying key positions driving competitive advantage
C. Hiring top graduates
D. Building an HRIS

Answer: B. Key positions → talent pool → differentiated HR architecture.

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14. In Ulrich's model, the strategic and people-focused role is...

A. Strategic Partner
B. Change Agent
C. Administrative Expert
D. Employee Champion

Answer: B. Strategic+process = Partner; strategic+people = Change Agent; operational+process = Admin Expert; operational+people = Employee Champion.

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15. Automating payroll and implementing an HRIS to cut cost is the role of...

A. Strategic Partner
B. Change Agent
C. Administrative Expert
D. Employee Champion

Answer: C. Administrative Expert: efficient, effective HR services.

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16. Workforce planning and analysing business decisions' workforce impact fit which role?

A. Employee Champion
B. Administrative Expert
C. Strategic Partner
D. Change Agent

Answer: C. Strategic Partner: business plan, HR strategy, manpower planning.

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17. Which best describes an HR Business Partner?

A. Doing HR for HR
B. Only personnel admin
C. Embedded in units, aligning HR with business strategy to win in the market
D. Representing only the union

Answer: C. Ulrich: 'doing HR so that we can win in the marketplace'.

Sources

- P3MD Week 8 MK1 — People & Strategy: Human Capital as Competitive Advantage (Rev.01)
- Johnson — Scaling People; Ulrich (1996, 2012); Dessler (2020); Lepak et al. (2006); Collings & Mellahi (2009); Porter (1985)